

Session 4: Entry Strategy: Entry Deterrence and Entry Opportunities **ALDI**

Competitive Strategy

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Barriers to Entry: What restricts entry?

Structural (exogenous) barriers

- Large MES -- Economies of scale (Intel in R&D) (see S1, S2)
- Sunk Costs (See S1, S2)
- Patents and other essential resources (S2)
 - E.g. DeBeers -- diamond mines
- Early mover advantages: switching costs, learning curves, network + standards (S2)

Barriers to Entry: What restricts entry?

Strategic (endogenous) barriers

- Lock-in key inputs:
 - Airport takeoff and landing slots (BA in London)
 - Sleeping patents (Rank Xerox, Procter&Gamble)
- Less obvious examples
 - Sunk capacity costs (DuPont in titanium dioxide)
 - Product proliferation (Ready-to-eat cereals)
 - Signaling?

Strategic Barriers to entry

Incumbent losses profits with entry:

- Share goes down
- Competition Increases

By definition, monopoly already maximises profit. So when a second company enters, profit drops for everyone.

Moreover, preemption a priori would be profitable:

- In general, competition destroys profits
 - A monopolist with the same technology as two duopolists earns more profits than the two put together.
- Thus existing monopoly firm has more of an incentive to preempt than the entrant to enter
 - Loss of profit to monopolist if entry $>$ gain of profit to potential entrant:
 - $\text{Profits monopolist} - \text{Profit Duopolist} > \text{Profit of Duopolist}$

Suppose game was simultaneous

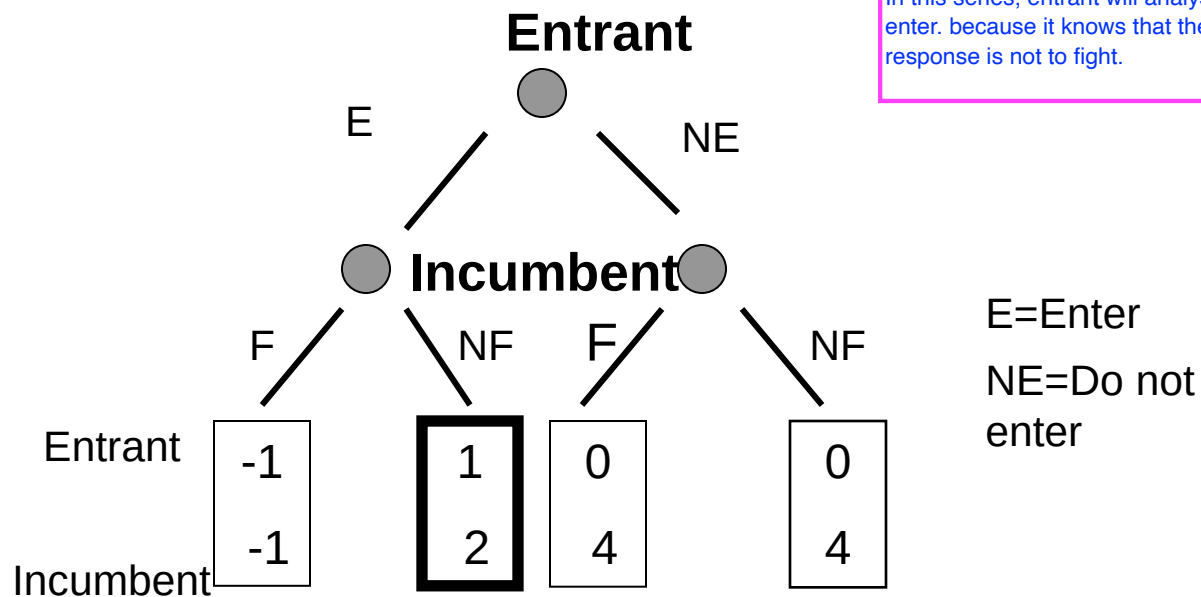
		Entrant	
		Not Enter	Enter
Incumbent Decision	Not Fight	4, 0	2, 1
	Fight	4, 0	-1, -1

Has two Nash equilibria: F, NE and NF, E

Threat not credible

Write the game in dynamic series. Under this condition, is the Nash still stable?

Problem: entrant moves first, and presents incumbent with a 'fait accompli'



Problem

Once entrant is there the incentive is not to fight

- Thus the relevant comparison is, conditionally on entry, profits if fight vs. profits if no fight
- Multiple examples in Military strategy
 - Credibility of nuclear deterrence in cold war?
 - Credibility of ‘we will not tolerate a nuclear North Korea’ by US President

Solutions

- a. Proliferation
- b. Excess Capacity
- c. Signaling and Reputation

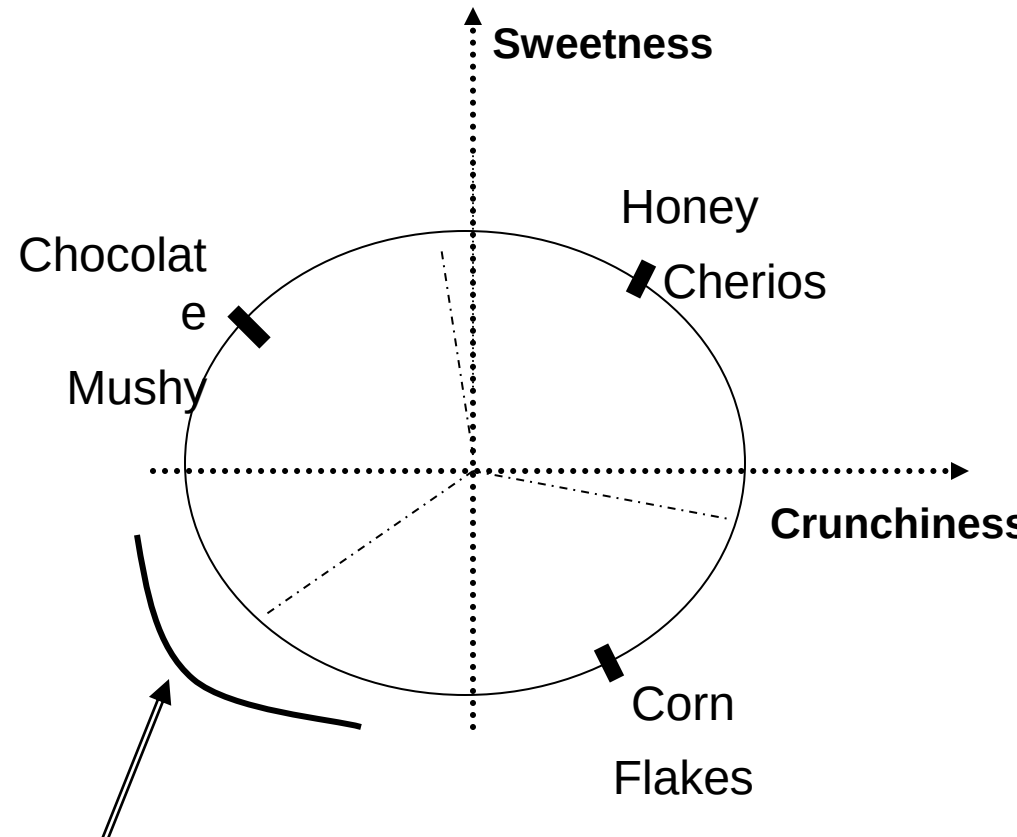
a. Deterrence by proliferation

Typical for FMCG products.

Consumers are distributed in the product space (circle)

Consumers buy the product with the closest “distance”

Fixed cost only covered by selling to a minimum mass of consumers



Proliferation

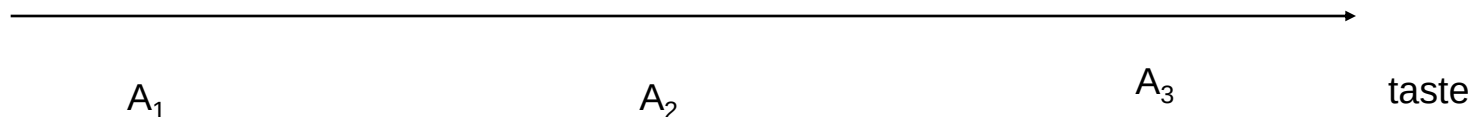
Fixed cost of selling a variety

Packaging, labelling, advertising...

Without entry threat trade-off between

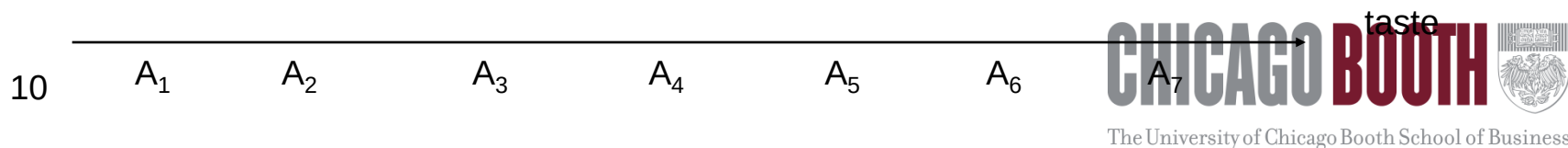
more brands $\Rightarrow$ higher prices

more brands $\Rightarrow$ higher fixed costs



Strategically introduce more brands to prevent entry

If you are a new cola brand, you are very unlikely to successfully enter the supermarket arena. the buyer will reject because the incumbents have already proliferated the product space. (little or no space for new entrant)



Logic

Entry deterrence by introduction of “too many” products

- Leave no room for entrant’s product
- Since product space full, entrant must locate close to existing brand
 - Thus low differentiation and tough competition
 - Limited volume

If incumbent brands are there to stay, entrant may find it not profitable to get in

- Key role of sunk costs:
 - If no sunk costs, no problem in going through with entry and getting a tiny share (example in cereal market).

Examples

- U.S. ready-to-eat breakfast cereals industry
- Pharmaceuticals (presentations)
- Airlines (frequency of departures)

Requirement: Credible Commitment

If multi-product incumbent can easily withdraw some products at low cost, may not be able to crowd out new firms

- Entrant knows incentive to fight may be low

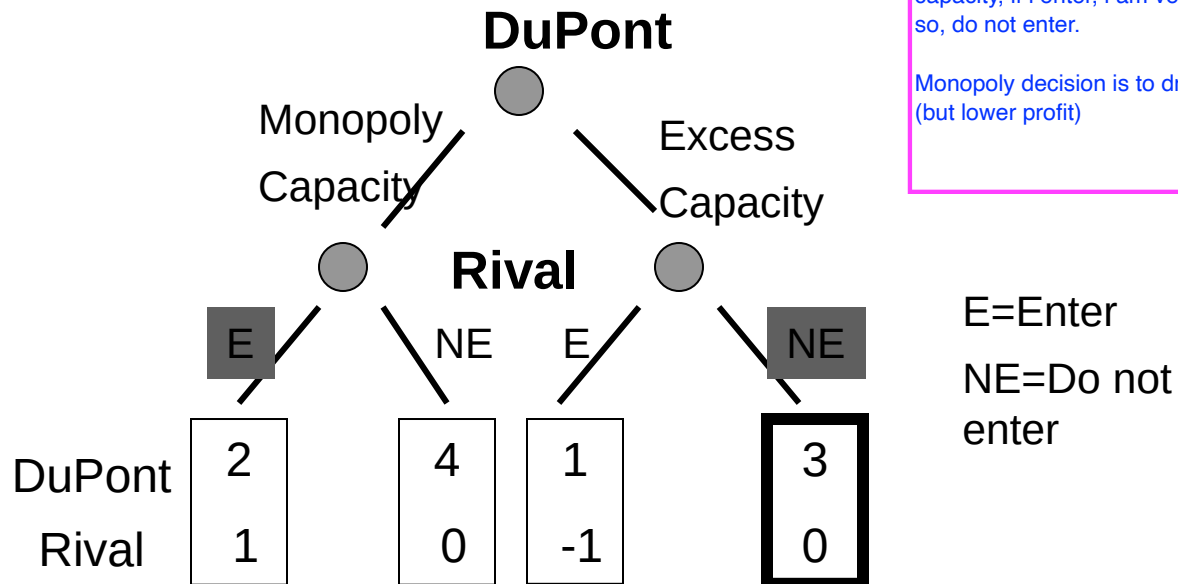
Thus need commitment to make deterrence possible

b. Use of excess capacity to deter entry

- Adding capacity in growing market to deter competitors' expansion or rivals' entry
- Allows incumbent to expand output at a low cost
 - Thus, it increases the credibility of price cutting as an entry response
- This leads to lower expected post-entry profits for the entrant
 - e.g. Du Pont; Alcoa

Logic of Excess Capacity

Through commitment, first move for incumbent possible. Example– Du Pont in TiO_2



Entrant thinks; given there is already excess capacity, if i enter, i am very likely to make a loss. so, do not enter.

Monopoly decision is to drive up excess capacity (but lower profit)

E=Enter

NE=Do not enter

Requirements

1. Credibility and commitment
2. Some asymmetry
3. Move must be large enough relative to market sunk costs
4. Rivals must understand implications of commitment

4. this is crucial concept.

1. Credibility and Commitment

- Need to credibly commit to (too) high output:
 - Sunk costs
 - Alcoa, through 1940, aluminum monopolist
 - Court found it accomplished this in part by building excess capacity.
 - Contracts (renegotiation limits commitment value)
 - Alcoa signed exclusive contracts with all available high-grade bauxite producers (necessary for aluminum)

2. Asymmetries

- Problem: If both race to preempt, large losses
- Some examples of asymmetries that may avoid this:
 - Learning curve
 - Cost differences
- Key issue: (long run) sustainability of cost advantage

If both use similar strategy, both parties incur losses.

Requirements

More obvious requirements:

3. Move must be large enough relative to market sunk costs
4. Rivals must understand implications of commitment

Cost of Strategy

- Risky, as all commitment strategies
 - A cost of commitment is reduced flexibility
 - Value this in capital budgeting
 - Scenario analysis: decisions should depend on outcome of uncertainty
 - Good information and sensitivity analysis essential
- Free rider problem
 - Some firm must incur cost; all benefit.

Incumbent; must analyse carefully before building up excess capacity. What is there is a recession?

c. Signaling to competitors

- Will lowering price *before entry* to signal willingness to fight work?
 - Not if it does not affect expectations of entrant
- Signals must be credible
 - Action which is in signaler's interest only if he is of a certain type— e.g. if it is a low cost
 - Announcement alone may not be credible
 - Reputation for truthfulness.
 - Repeatedly choose to fight even if not in ones interest.

How to discern real signal against cheap talk?

Antitrust

Monopolization cases

- Anti-competitive actions by an individual firm
 - Enforcement weaker than joint actions
 - Presumption that unilateral competitive actions are okay
- Fundamentally difficult cases to decide
- Actions consistent with efficient competition or monopolization look the same
 - Aggressive pricing vs. predation
 - Expansion by low-cost firm

Enforcement and litigation costly.

Generally, unilateral actions are not antitrust nor collusion.
But how to distinguish?

II. Entry opportunities

Paradox of entry barriers

- Bad for entrant-- makes entry expensive
- Good for entrant-- makes entry expensive
 - If no entry barriers, profit = 0. Why enter?

Entry attractive if entrant can scale entry barriers more cheaply than others.

You want to enter a market that is high cost for everyone except myself. HOW??

Entry opportunities

Novel business plan

- Can incumbents copy?
- Would incumbents want to copy?

If incumbents can copy, it is not a good strategy.

find a strat that incumbents must come down from their hill of concavity.

Synergies with existing businesses

- Shared knowledge one type of synergy.
- Be skeptical of these.

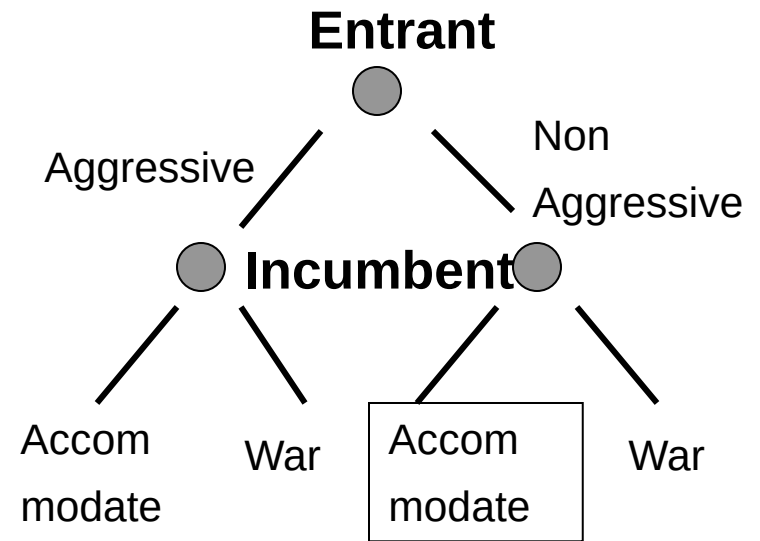
Purpose of Entry Strategy

Incumbent has strong brand, good quality product and makes profits

What is a good entry strategy?

Product quality?

Product characteristics?



Entry Strategies

Make aggressive reaction by incumbents less likely

- Increase expected cost of driving entrant out
- Decrease expected benefit of driving entrant out
 - Differentiate
 - Stay small-- judo economics

judo; taking advantage of our much smaller size to outperform the competitor.

either let the competitor fall on his weight when he tries to fight us, or stay nimble and drain by attrition.

Judo Economics

A choice of a small size and low price may allow an entrant to make money

- This is true even if entrant adds no value (i.e. if neither lower cost nor extra benefit provided)

Incumbent may discover that matching low prices by entrant is not to his advantage

- Reason: Losses to remaining customers

Tactics

How can belief be created in incumbent?

Need to communicate to incumbent credibly intention to stay small

Examples:

- Deliberately build small plant
- High and costly service levels for consumers

Necessary Rule: One price to all

Targeted matching must be impossible for 'judo' to work

- Big problem for first wave of airline start-ups
 - People Express, New York Air... confronted by restricted and capacity controlled low fares from American etc.

If targeted matching possible, incumbent can react

- Role of entrant in price discriminating is what allows him to add value.

If targeted price matching is possible, incumbent is not so badly affected. Because incumbent can just reduce price for the overlap group of customers that you (entrant) is serving/hijacking.

Risk: what is the real scope of game

Even if arithmetic works against it, incumbent may decide to fight

- Set precedent with other potential entrants
 - BA- good reason to set precedent

Takeaways

Entry barriers are anything that allows established firms to enjoy economic profits – created or exogenous

Entry barriers can be created if they are credible commitments that a potential entrant would get low profits

- Threats by themselves not credible.

Judo strategies may be used to decrease the likelihood of incumbents' response

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